



**United Company RUSAL,
International public joint-stock company**

**Consolidated Interim Condensed Financial Information
for the six-month period ended
30 June 2021**

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Report on Review of Consolidated Interim Condensed Financial Information

To the Board of Directors of
International public joint-stock company
United Company RUSAL

Introduction

We have reviewed the accompanying consolidated interim condensed financial information of International public joint-stock company United Company RUSAL and its subsidiaries (the "Group"), which comprise the consolidated interim condensed statement of financial position as at 30 June 2021 and the related consolidated interim condensed statements of income, comprehensive income, changes in equity and cash flows for the six-month period then ended, and notes to the consolidated interim condensed financial information (the "consolidated interim condensed financial information"). The Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited require the preparation of a report on consolidated interim condensed financial information to be in compliance with the relevant provisions thereof and International Accounting Standard 34 *Interim Financial Reporting* ("IAS 34"). Management of the Group is responsible for the preparation and presentation of this consolidated interim condensed financial information in accordance with IAS 34, *Interim Financial Reporting*. Our responsibility is to express a conclusion on this consolidated interim condensed financial information based on our review. Our report is made solely to you, as a body, in accordance with our agreed terms of engagement, and for no other purpose. We do not assume responsibility towards or accept liability to any other person for the contents of this report.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410, *Review of Interim Financial Information Performed by the Independent Auditor of the Entity*. A review of consolidated interim condensed financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

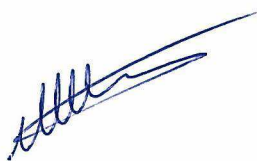
Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying consolidated interim condensed financial information is not prepared, in all material respects, in accordance with IAS 34, *Interim Financial Reporting*.

Other matter

The consolidated financial statements of the Group for the year ended 31 December 2020 were audited by another auditor who expressed an unmodified opinion on those statements on 16 March 2021.

The consolidated interim condensed financial information of the Group for the six months ended 30 June 2020 were reviewed by another auditor who issued a review report with an unqualified conclusion on those statements on 12 August 2020.



M.S. Khachaturian
Partner
Ernst & Young LLC

13 August 2021

Details of the entity

Name: International public joint-stock company United Company RUSAL
Record made in the State Register of Legal Entities on 25 September 2020, State Registration Number 1203900011974.
Address: Russia 236006, Kaliningrad, Oktyabrskaya street, Office 411, b.8.

Details of the auditor

Name: Ernst & Young LLC
Record made in the State Register of Legal Entities on 5 December 2002, State Registration Number 1027739707203.
Address: Russia 115035, Moscow, Sadovnicheskaya naberezhnaya, 77, building 1.
Ernst & Young LLC is a member of Self-regulatory organization of auditors Association "Sodruzhestvo".
Ernst & Young LLC is included in the control copy of the register of auditors and audit organizations, main registration number 12006020327.

		Six months ended 30 June	
		2021 (unaudited) USD million	2020 (unaudited) USD million
	Note		
Revenue	5	5,449	4,015
Cost of sales	6(a)	(3,819)	(3,520)
Gross profit		1,630	495
Distribution expenses	6(b)	(246)	(227)
Administrative expenses	6(b)	(258)	(248)
Impairment of non-current assets	6(b)	(55)	(51)
Net other operating expenses	6(b)	(129)	(75)
Results from operating activities		942	(106)
Finance income	7	25	115
Finance expenses	7	(469)	(240)
Share of profits of associates and joint ventures	10	1,171	27
Gain from partial disposal of investment in associate	10	492	—
Profit/(loss) before taxation		2,161	(204)
Income tax (expense)/gain	8	(143)	80
Profit/(loss) for the period		2,018	(124)
Attributable to Shareholders of the Company		2,018	(124)
Profit/(loss) for the period		2,018	(124)
Earnings/(losses) per share			
Basic and diluted earnings/(losses) per share (USD)	9	0.1328	(0.0082)
Adjusted EBITDA	4, 6(c)	1,315	219

	Note	Six months ended 30 June	
		2021	2020
		(unaudited) USD million	(unaudited) USD million
Profit/(loss) for the period		2,018	(124)
Other comprehensive income or loss			
<i>Items that will never be reclassified subsequently to profit or loss</i>			
Actuarial gain on post retirement benefit plans	14	1	7
		1	7
<i>Items that are or may be reclassified subsequently to profit or loss</i>			
Reclassification of accumulated foreign currency translation loss to Statement of Income due to partial disposal of investment in associate		613	—
Change in fair value of cash flow hedges	15	(28)	(58)
Foreign currency translation differences on foreign operations		90	(116)
Foreign currency translation differences for equity-accounted investees	10	103	(478)
		778	(652)
Other comprehensive income or loss for the period, net of tax		779	(645)
Total comprehensive income or loss for the period		2,797	(769)
<i>Attributable to:</i>			
Shareholders of the Company		2,797	(769)

There was no significant tax effect relating to each component of other comprehensive income or loss.

		30 June 2021 (unaudited) USD million	31 December 2020 USD million
	Note		
Assets			
Non-current assets			
Property, plant and equipment and investment properties		5,096	4,855
Intangible assets		2,436	2,407
Interests in associates and joint ventures	10	4,172	3,822
Deferred tax assets		165	199
Derivative financial assets	15	–	20
Investments in equity securities measured at fair value through profit and loss	11 (d)	378	74
Other non-current assets	11 (c)	155	124
Total non-current assets		12,402	11,501
Current assets			
Inventories		2,714	2,292
Short-term investments		125	163
Trade and other receivables	11(a)	1,437	1,163
Derivative financial assets	15	22	30
Cash and cash equivalents		3,766	2,229
Total current assets		8,064	5,877
Total assets		20,466	17,378
Equity and liabilities			
Equity	12		
Share capital		152	152
Share premium		15,786	15,786
Other reserves		2,814	2,841
Currency translation reserve		(9,307)	(10,113)
Accumulated losses		(105)	(2,123)
Total equity		9,340	6,543
Non-current liabilities			
Loans and borrowings	13	6,505	7,062
Provisions	14	390	405
Deferred tax liabilities		434	453
Derivative financial liabilities	15	149	28
Other non-current liabilities		69	96
Total non-current liabilities		7,547	8,044
Current liabilities			
Loans and borrowings	13	1,360	730
Trade and other payables	11(b)	2,052	1,836
Derivative financial liabilities	15	94	157
Provisions	14	73	68
Total current liabilities		3,579	2,791
Total liabilities		11,126	10,835
Total equity and liabilities		20,466	17,378
Net current assets		4,485	3,086
Total assets less current liabilities		16,887	14,587

Approved and authorised for issue by the board of directors on 13 August 2021.


Evgenii V. Nikitin
General Director


Alexander V. Popov
Chief Financial Officer

	Share capital	Share premium	Other reserves	Currency translation reserve	Accumulated losses	Total equity
	USD million	USD million	USD million	USD million	USD million	USD million
Balance at 1 January 2021	152	15,786	2,841	(10,113)	(2,123)	6,543
Profit for the period (unaudited)	–	–	–	–	2,018	2,018
Other comprehensive income for the period (unaudited)	–	–	(27)	806	–	779
Total comprehensive income for the period (unaudited)	–	–	(27)	806	2,018	2,797
Balance at 30 June 2021 (unaudited)	152	15,786	2,814	(9,307)	(105)	9,340
Balance at 1 January 2020	152	15,786	2,892	(9,201)	(2,882)	6,747
Loss for the period (unaudited)	–	–	–	–	(124)	(124)
Other comprehensive loss for the period (unaudited)	–	–	(51)	(594)	–	(645)
Total comprehensive loss for the period (unaudited)	–	–	(51)	(594)	(124)	(769)
Balance at 30 June 2020 (unaudited)	152	15,786	2,841	(9,795)	(3,006)	5,978

	Note	Six months ended 30 June	
		2021	2020
		(unaudited) USD million	(unaudited) USD million
Operating activities			
Profit/(loss) for the period		2,018	(124)
<i>Adjustments for:</i>			
Depreciation	6	314	271
Amortisation	6	3	3
Impairment of non-current assets	6(b)	55	51
Impairment/(reversal of impairment) of trade and other receivables	6(b)	67	(3)
Write-down of inventories to net realisable value		5	4
Pension provision		—	1
Change in fair value of derivative financial instruments	7	235	(12)
Net foreign exchange loss/(gain)		48	(87)
Loss on disposal of property, plant and equipment	6(b)	1	—
Interest expense	7	186	240
Interest income	7	(12)	(16)
Income tax expense/(gain)	8	143	(80)
Revaluation of investments measured at fair value through profit and loss	7	(13)	—
Share of profits of associates and joint ventures	10	(1,171)	(27)
Gain on partial disposal of investment in associate	10	(492)	—
Cash from operating activities before changes in working capital and provisions		1,387	221
(Increase)/decrease in inventories		(421)	75
(Increase)/decrease in trade and other receivables		(339)	208
Increase in prepaid expenses and other assets		(1)	(1)
Increase/(decrease) in trade and other payables		129	(305)
Decrease in provisions		(2)	(5)
Cash generated from operations before income tax paid		753	193
Income taxes paid		(87)	(20)
Net cash generated from operating activities		666	173
Investing activities			
Proceeds from disposal of property, plant and equipment		6	7
Interest received		9	14
Acquisition of property, plant and equipment		(543)	(392)
Acquisition of intangible assets		(11)	(9)
Cash paid for investments in equity securities measured at fair value through profit and loss	11 (d)	(291)	—
Cash received from/(paid for) other investments		32	(22)
Acquisition of a subsidiary		(21)	(1)
Proceeds from partial disposal of associate	10	1,421	—
Return of a contribution to joint venture		—	10
Dividends from associates and joint ventures		618	790
Changes in restricted cash		—	1
Net cash from investing activities		1,220	398
Financing activities			
Proceeds from borrowings		490	214
Repayment of borrowings		(568)	(74)
Interest paid		(185)	(244)
Payment of restructuring and other expenses		(27)	—
Settlement of derivative financial instruments		(65)	(84)
Net cash used in financing activities		(355)	(188)
Net increase in cash and cash equivalents		1,531	383
Cash and cash equivalents at the beginning of the period		2,216	1,768
Effect of exchange rate changes on cash and cash equivalents		6	(67)
Cash and cash equivalents at the end of the period		3,753	2,084

Restricted cash amounted to USD13 million and USD13 million at 30 June 2021 and 31 December 2020, respectively.

1. Background

(a) Organisation

United Company RUSAL, international public joint-stock company (United Company RUSAL Plc prior to 25 September 2020) (“UC RUSAL IPJSC”, the “Company” or “UC RUSAL”) was established by the controlling shareholder of RUSAL Limited (“RUSAL”) as a limited liability company under the laws of Jersey on 26 October 2006. On 27 January 2010, the Company successfully completed a placing on the Main Board of The Stock Exchange of Hong Kong Limited (“Hong Kong Stock Exchange”) and changed its legal form from a limited liability company to a public limited company.

On 23 March 2015, the shares of the Company were admitted to listing on PJSC Moscow Exchange MICEX-RTS (“Moscow Exchange”) in the First Level quotation list. The trading of shares on Moscow Exchange commenced on 30 March 2015. There was no issue of new shares.

The extraordinary general meeting of the Company held on 1 August 2019 approved the application by the Company to the regulatory authorities in Russia for continuance as a company with the status of an International Company established under the laws of Russia (the “Redomiciliation”). On 25 September 2020 UC RUSAL changed its domicile to the Russian Federation as UC RUSAL IPJSC.

The Company’s registered office as at 30 June 2021 is Oktyabrskaya st. 8, office 410, Kaliningrad, Kaliningrad Region, 236006, Russian Federation (prior to 25 September 2020: s 3rd floor, 44 Esplanade, St Helier, Jersey, JE4 9WG, Channel Islands).

The Company directly or through its wholly owned subsidiaries controls a number of production and trading entities engaged in the aluminium business and other entities, which together with the Company are referred to as “the Group”.

The shareholding structure of the Company as at 30 June 2021 and 31 December 2020 was as follows:

	30 June 2021	31 December 2020
EN+ GROUP IPJSC (“EN+”, former En+ Group Plc)	56.88%	56.88%
SUAL Partners Limited (“SUAL Partners”)	21.61%	22.10%
Zonoville Investments Limited (“Zonoville”)	4.00%	4.00%
Mr. Oleg V. Deripaska	0.01%	0.01%
Publicly held	17.50%	17.01%
Total	100.00%	100.00%

At 30 June 2021 and 31 December 2020, the immediate parent of the Group was EN+ GROUP International public joint-stock company (EN+GROUP IPJSC) with the registered office at Oktyabrskaya st. 8, office 34, Kaliningrad, Kaliningrad Region, 236006, Russian Federation.

Based on the information provided by EN+, at the reporting date there is no individual that has an indirect prevailing ownership interest in EN+ GROUP IPJSC exceeding 50%, who could exercise voting rights in respect of more than 35% of EN+ GROUP IPJSC’s issued share capital or has an opportunity to exercise control over EN+ GROUP IPJSC. As at 30 June 2021 and 31 December 2020, Mr. Oleg Deripaska beneficially controls and exercises voting rights in respect of 35% of the voting shares of EN+ GROUP IPJSC and cannot exceed his direct or indirect shareholding over 44.95% of the shares of the EN+ GROUP IPJSC.

According to the information disclosed at the Stock Exchange of Hong Kong Limited Zonoville Investments Limited and SUAL Partners Limited are associates. Major ultimate beneficiaries of SUAL Partners are Mr. Victor Vekselberg and Mr. Len Blavatnik.

Related party transactions are disclosed in Note 17.

The consolidated financial statements of the Group as at and for the year ended 31 December 2020 are available at the Company’s website www.rusal.com.

(b) Seasonality

There are no material seasonal events in business activity of the Group.

(c) OFAC Sanctions

On 6 April 2018, the U.S. Department of the Treasury's Office of Foreign Assets Control ("OFAC") designated, amongst others, the Company, as a Specially Designated National ("SDN") (the "OFAC Sanctions").

As a result, all property or interests in property of the Company and its subsidiaries located in the United States or in the possession of U.S. Persons were blocked, must have been frozen, and could not be transferred, paid, exported, withdrawn, or otherwise dealt in. Several general licenses were issued at the time of the designation and later on authorizing certain transactions with the Company, its majority shareholder EN+GROUP IPJSC En+ Group Plc ("EN+", former En+ Group Plc "En+"), and with their respective debt and equity.

On 27 January 2019, OFAC announced removal of the Company and En+ from OFAC's SDN List with immediate effect. The removal was subject to and conditional upon the satisfaction of a number of conditions including, but not limited to, corporate governance changes, including, inter alia, overhauling the composition of the Board to ensure that independent directors constitute the majority of the Board, stepping down of the Chairman of the Board, and ongoing reporting and certifications by the Company to OFAC concerning compliance with the conditions for removal.

(d) COVID-19

During the six months ended 30 June 2021, the Russian economy started to recover from the pandemic as a result of an increase in business activity and due to government support measures which was also supported by recovery of the global aluminium demand and production. The global demand and production of aluminium is also expected to demonstrate positive trends but may be affected by further COVID-19 developments. At the date of this analysis, the Group continues to assess the impact of the above factors on its financial position and future cash flows and thoroughly monitors all market developments. Considering the currently produced analysis and cash flows forecasts, management has concluded that the Group and the Company will continue operations and meet its obligations as they fall due. To mitigate the risks of potential COVID-19 developments on the Group's operations management has implemented and continues to maintain a number of measures including those related to production and supply processes continuity, staff safety, support of local medical infrastructure in areas where the Group operates.

2. Basis of preparation

(a) Statement of compliance

This consolidated interim condensed financial information has been prepared in accordance with International Accounting Standard (IAS) 34 *Interim Financial Reporting* and applicable disclosure provisions of the Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited ("Listing Rules").

This consolidated interim condensed financial information does not include all of the information required for full annual financial statements prepared in accordance with International Financial Reporting Standards and therefore should be read in conjunction with the consolidated financial statements of the Group as at and for the year ended 31 December 2020.

3. Significant accounting policies

The accounting policies applied in this consolidated interim condensed financial information are the same as those applied in the Group's consolidated financial statements as at and for the year ended 31 December 2020.

The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. The following amended standards became effective from 1 January 2021:

Interest Rate Benchmark Reform – Phase 2: Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16

The amendments provide temporary reliefs which address the financial reporting effects related to replacement of interbank offered rates (IBOR) with alternative risk-free rates (RFR). These amendments had no impact on the interim condensed consolidated financial statements of the Group. The Group intends to use the practical expedients in future periods if they become applicable.

4. Segment reporting

(a) Reportable segments

The Group has four reportable segments, as described below, which are the Group's strategic business units. These business units are managed separately and the results of their operations are reviewed by the CEO on a regular basis.

Aluminium. The Aluminium segment is involved in the production and sale of primary aluminium and related products.

Alumina. The Alumina segment is involved in the mining and refining of bauxite into alumina and the sale of alumina.

Energy. The Energy segment includes the Group companies and projects engaged in the mining and sale of coal and the generation and transmission of electricity produced from various sources. Where the generating facility is solely a part of an alumina or aluminium production facility it is included in the respective reportable segment.

Mining and Metals. The Mining and Metals segment includes the equity investment in PJSC MMC Norilsk Nickel ("Norilsk Nickel").

Other operations include manufacturing of semi-finished products from primary aluminium for the transportation, packaging, building and construction, consumer goods and technology industries; and the activities of the Group's administrative centres. None of these segments meet any of the quantitative thresholds for determining reportable segments.

The Aluminium and Alumina segments are vertically integrated whereby the Alumina segment supplies alumina to the Aluminium segment for further refining and smelting with limited sales of alumina outside the Group. Integration between the Aluminium, Alumina and Energy segments also includes shared servicing and distribution.

(b) Segment results, assets and liabilities

For the purposes of assessing segment performance and allocating resources between segments, the Group's senior executive management monitor the results, assets and liabilities attributable to each reportable segment on the following bases:

Segment assets include all tangible, intangible assets and current assets with the exception of income tax assets and corporate assets. Segment liabilities include trade and other payables attributable to the production and sales activities of the individual segments. Loans and borrowings are not allocated to individual segments as they are centrally managed by the head office.

Revenue and expenses are allocated to the reportable segments with reference to sales generated by those segments and the expenses incurred by those segments or which otherwise arise from the depreciation or amortisation of assets attributable to those segments excluding impairment.

The measure used for reporting segment results is the statement of income before income tax adjusted for items not specifically attributed to individual segments, such as finance income, costs of loans and borrowings and other head office or corporate administration costs. The segment profit or loss is included in the internal management reports that are reviewed by the Group's CEO. Segment profit or loss is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

In addition to receiving segment information concerning segment results, management is provided with segment information concerning revenue (including inter-segment revenue), the carrying value of investments and share of profits/(losses) of associates and joint ventures, depreciation, amortisation, impairment and additions of non-current segment assets used by the segments in their operations. Inter-segment pricing is determined on a consistent basis using market benchmarks.

Segment capital expenditure is the total cost incurred during the reporting period to acquire property, plant and equipment and intangible assets other than goodwill.

The Group acquired property, plant and equipment in the total amount of USD636 million, including investment properties in the total amount of USD73 million, for the six months ended 30 June 2021 (USD464 million, including investment properties in the total amount of nil, for the six months ended 30 June 2020). The carrying amount of property, plant and equipment disposed during the six months ended 30 June 2021 comprised USD45 million (USD20 million for the six months ended 30 June 2020).

(i) Reportable segments

Six months ended 30 June 2021

	Aluminium	Alumina	Energy	Mining and Metals	Total
	USD million	USD million	USD million	USD million	USD million
Revenue from external customers	4,618	442	–	–	5,060
Inter-segment revenue	150	1,262	–	–	1,412
Total segment revenue	4,768	1,704	–	–	6,472
Segment profit	1,102	58	–	–	1,160
Depreciation/amortisation	(184)	(116)	–	–	(300)
Segment EBITDA	1,286	174	–	–	1,460
Impairment of non-current assets	(8)	(41)	–	–	(49)
Share of profits of associates and joint ventures	–	–	47	1,124	1,171
Non-cash expense	–	(4)	–	–	(4)
Capital expenditure	(293)	(86)	–	–	(379)
Non-cash adjustments to non-current segment assets related to site restoration	(4)	7	–	–	3

Six months ended 30 June 2020

	Aluminium	Alumina	Energy	Mining and Metals	Total
	USD million	USD million	USD million	USD million	USD million
Revenue from external customers	3,351	379	–	–	3,730
Inter-segment revenue	92	1,203	–	–	1,295
Total segment revenue	3,443	1,582	–	–	5,025
Segment profit	28	47	–	–	75
Depreciation/amortisation	(169)	(91)	–	–	(260)
Segment EBITDA	197	138	–	–	335
Impairment of non-current assets	(9)	(38)	–	–	(47)
Share of profits/(losses) of associates and joint ventures	–	–	19	(13)	6
Non-cash expense	–	(2)	–	–	(2)
Capital expenditure	(278)	(103)	–	–	(381)
Non-cash adjustments to non-current segment assets related to site restoration	–	(13)	–	–	(13)

At 30 June 2021

	Aluminium	Alumina	Energy	Mining and Metals	Total segment result
	USD million	USD million	USD million	USD million	USD million
Segment assets	7,679	2,585	–	–	10,264
Interests in associates and joint ventures	–	–	719	3,416	4,135
Total segment assets					14,399
Segment liabilities	(1,004)	(661)	(13)	–	(1,678)
Total segment liabilities					(1,678)

31 December 2020

	Aluminium	Alumina	Energy	Mining and Metals	Total segment result
	USD million	USD million	USD million	USD million	USD million
Segment assets	6,987	2,572	–	–	9,559
Interests in associates and joint ventures	–	–	662	3,122	3,784
Total segment assets					13,343
Segment liabilities	(854)	(668)	(13)	–	(1,535)
Total segment liabilities					(1,535)

(ii) **Reconciliation of reportable segment revenue, profit or loss, assets and liabilities**

	Six months ended 30 June	
	2021	2020
	USD million	USD million
Revenue		
Reportable segment revenue	6,472	5,025
Elimination of inter-segment revenue	(1,412)	(1,295)
Unallocated revenue	389	285
Consolidated revenue	5,449	4,015
	Six months ended 30 June	
	2021	2020
	USD million	USD million
Profit/(loss)		
Reportable segment profit	1,160	75
Impairment of non-current assets	(55)	(51)
Share of profits of associates and joint ventures	1,171	27
Loss on disposal of property, plant and equipment	(1)	–
Finance income	25	115
Finance expenses	(469)	(240)
Gain from partial disposal of investment in associate	492	–
Unallocated expense	(162)	(130)
Consolidated profit/(loss) before taxation	2,161	(204)
	Six months ended 30 June	
	2021	2020
	USD million	USD million
Adjusted EBITDA		
Reportable segments EBITDA	1,460	335
Unallocated depreciation	17	14
Unallocated expenses	(162)	(130)
Consolidated adjusted EBITDA	1,315	219
	30 June 2021	31 December 2020
	USD million	USD million
Assets		
Reportable segment assets	14,399	13,343
Unallocated assets	6,067	4,035
Consolidated total assets	20,466	17,378
	30 June 2021	31 December 2020
	USD million	USD million
Liabilities		
Reportable segment liabilities	(1,678)	(1,535)
Unallocated liabilities	(9,448)	(9,300)
Consolidated total liabilities	(11,126)	(10,835)

5. Revenue

	Six months ended 30 June	
	2021	2020
	USD million	USD million
Revenue from contracts with customers	5,449	4,015
Sales of products	5,340	3,935
Sales of primary aluminium and alloys	4,574	3,318
Sales of alumina and bauxite	277	243
Sales of foil and other aluminium products	232	178
Sales of other products	257	196
Provision of services	109	80
Supply of energy	80	53
Provision of transportation services	3	4
Provision of other services	26	23
Total revenue by types of customers	5,449	4,015
Third parties	5,056	3,592
Related parties – companies capable of exerting significant influence	123	209
Related parties – companies related through parent company	98	61
Related parties – associates and joint ventures	172	153
Total revenue by primary regions	5,449	4,015
Europe	1,980	1,874
CIS	1,692	1,126
America	497	292
Asia	1,213	699
Other	67	24

Revenue from sale of primary aluminium and alloys relates to aluminium segment (Note 4). Revenue from sales of alumina and bauxite relates to alumina segment. Revenue from sale of foil and other aluminium products and other products and services relates mostly to the revenue of non-reportable segments.

6. Cost of sales and operating expenses

(a) Cost of sales

	Six months ended 30 June	
	2021	2020
	USD million	USD million
Cost of alumina, bauxite and other materials	(1,663)	(1,459)
Third parties	(1,641)	(1,446)
Related parties – companies capable of exerting significant influence	(7)	(8)
Related parties – companies related through parent company	(7)	(5)
Related parties – associates and joint ventures	(8)	–
Purchases of primary aluminium	(481)	(271)
Third parties	(170)	(34)
Related parties – companies related through parent company	(6)	(2)
Related parties – associates and joint ventures	(305)	(235)
Energy costs	(985)	(988)
Third parties	(613)	(562)
Related parties – companies capable of exerting significant influence	(18)	(13)
Related parties – companies related through parent company	(337)	(401)
Related parties – associates and joint ventures	(17)	(12)
Personnel costs	(278)	(257)
Depreciation and amortisation	(303)	(266)
Change in finished goods	248	50
Other costs	(357)	(329)
Third parties	(282)	(259)
Related parties – companies related through parent company	(14)	(13)
Related parties – associates and joint ventures	(61)	(57)
	(3,819)	(3,520)

(b) Distribution, administrative and other operating expenses, and impairment of non-current assets

	Six months ended 30 June	
	2021	2020
	USD million	USD million
Transportation expenses	(202)	(188)
Personnel costs	(125)	(116)
(Impairment)/reversal of impairment of trade and other receivables	(67)	3
Impairment of non-current assets (Note 6(d))	(55)	(51)
Consulting and legal expenses	(34)	(34)
Taxes other than on income	(23)	(21)
Packaging materials	(18)	(16)
Charitable donations	(18)	(15)
Security	(16)	(16)
Depreciation and amortisation	(14)	(8)
Repair and other services	(10)	(9)
Auditors' remuneration	(3)	(3)
Short-term lease and variable lease payments	(1)	(10)
Loss on disposal of property, plant and equipment	(1)	–
Other expenses	(101)	(117)
	(688)	(601)

(c) EBITDA and operating effectiveness measures

Adjusted EBITDA is the key non-IFRS financial measure used by the Group as reference for assessing operating effectiveness.

	Six months ended 30 June	
	2021	2020
	USD million	USD million
Results from operating activities	942	(106)
<i>Add:</i>		
Amortisation and depreciation	317	274
Impairment of non-current assets	55	51
Loss on disposal of property, plant and equipment	1	–
Adjusted EBITDA	1,315	219

(d) Impairment of non-current assets

Management has identified an impairment indicator, being the export duties imposed on aluminium exported from Russia, which are enacted for the period from 1 August 2021 to 31 December 2021 in amount of 15% of the price of aluminium exported. Management has analysed all CGUs and concluded that none of them are sensitive to this new indicator except for Taishet aluminium smelter. With the current duties regime, there is no additional impairment of Taishet aluminium smelter, however, if the duties are prolonged after 31 December 2021, depending on their amount and duration, impairment of Taishet aluminium smelter may be required.

Management has concluded that no impairment or reversal of previously recognised impairment loss relating to property, plant and equipment should be recognised in this consolidated interim condensed financial information apart from minor impairment of specific items of USD55 million disclosed above.

7. Finance income and expenses

	Six months ended 30 June	
	2021	2020
	USD million	USD million
Finance income		
Interest income on third party loans and deposits	12	16
Net foreign exchange gain	–	87
Revaluation of investments measured at fair value through profit and loss	13	–
Change in fair value of derivative financial instruments (refer to Note 15)	–	12
	25	115
Finance expenses		
Interest expense on bank loans wholly repayable within 5 years, bonds and other bank charges	(138)	(236)
Interest expense on bank loans wholly repayable after 5 years	(46)	–
Interest expense on provisions	(2)	(3)
Net foreign exchange loss	(48)	–
Change in fair value of derivative financial instruments (refer to Note 15)	(235)	–
Leases interest costs	–	(1)
	(469)	(240)

8. Income tax

	Six months ended 30 June	
	2021	2020
	USD million	USD million
Current tax		
Current tax for the period	112	25
Deferred tax		
Origination and reversal of temporary differences	31	(105)
Actual tax (gain)/expense	143	(80)

The Company is a tax resident of Russia with an applicable corporate tax rate of 20%. Subsidiaries pay income taxes in accordance with the legislative requirements of their respective tax jurisdictions. For subsidiaries domiciled in Russia, the applicable tax rate is 20%; in Ukraine of 18%; Guinea of 0%; China of 25%; Kazakhstan of 20%; Australia of 30%; Jamaica of 25%; Ireland of 12.5%; Sweden of 20.6% and Italy of 27.9%. For the Group's subsidiaries domiciled in Switzerland the applicable tax rate for the period is the corporate income tax rate in the Canton of Zug, Switzerland, which may vary depending on the subsidiary's tax status. The rate consists of a federal income tax and cantonal/communal income and capital taxes. The latter includes a base rate and a multiplier, which may change from year to year. Applicable income tax rates are 9.08% and 11.85% for different subsidiaries. For the Group's significant trading companies, the applicable tax rate is 0%. The applicable tax rates for the period ended 30 June 2020 and the year ended 31 December 2020 were the same as for the period ended 30 June 2021 except for tax rate for Sweden which amounted to 21.4% and tax rates for subsidiaries domiciled in Switzerland which amounted to 9.1% and 11.91% accordingly.

9. Losses or earnings per share

The calculation of basic losses or earnings per share is based on the loss or profit attributable to ordinary equity shareholders for the six-months periods ended 30 June 2021 and 30 June 2020.

Weighted average number of shares:

	Six months ended 30 June	
	2021	2020
Issued ordinary shares at beginning of the period	15,193,014,862	15,193,014,862
Effect of treasury shares	—	—
Weighted average number of shares at end of the period	15,193,014,862	15,193,014,862
Profit/(loss) for the period, USD million	2,018	(124)
Basic and diluted earnings/(losses) earnings per share, USD	0.1328	(0.0082)

There were no outstanding dilutive instruments during the periods ended 30 June 2021 and 30 June 2020.

No dividends were declared and paid during the periods presented.

10. Interests in associates and joint ventures

	Six months ended 30 June	
	2021	2020
	USD million	USD million
Balance at the beginning of the period	3,822	4,240
Group's share of profits	1,171	27
Partial disposal of investment in associate	(313)	—
Return of investment	—	(11)
Dividends	(611)	(335)
Foreign currency translation	103	(478)
Balance at the end of the period	4,172	3,443
Goodwill included in interests in associates	1,902	2,148

Investment in Norilsk Nickel

The Group has participated in the repurchase of Norilsk Nickel shares to raise additional funds to finance its own investment programme. The Group sold 3,691,465 shares for RUR27,780 per share, with the aggregate consideration of USD1,418 million. The carrying value of the shares sold amounted to USD313 million, and USD613 million of currency translation reserve attributed to the shares sold was reclassified to profit/(loss) for the period, resulting in net gain of USD492 million recognised in the consolidated statement of income. The effective interest in Norilsk Nickel held by the Group after the transaction comprised 26.39%.

As at 30 June 2021, the pledge of shares of Norilsk Nickel decreased from 25%+1 share to 1 share.

The Group's share of profit of Norilsk Nickel was USD1,124 million, other comprehensive income was USD nil million, the foreign currency translation gain of USD93 million for the six months ended 30 June 2021. The carrying value of the Group's investment in the investee comprises USD3,416 million as at 30 June 2021.

The market value of the investment in Norilsk Nickel as at 30 June 2021 was USD13,800 million (31 December 2020: USD14,123 million). The market value was determined by multiplying the quoted bid price per share on the Moscow Exchange on reporting date by the number of shares held by the Group.

11. Non-derivative financial instruments

(a) Trade and other receivables

	30 June 2021	31 December 2020
	USD million	USD million
Trade receivables from third parties	696	429
Impairment loss on trade receivables	(24)	(23)
Net trade receivables from third parties	672	406
Trade receivables from related parties, including:	129	70
<i>Related parties – companies capable of exerting significant influence</i>	77	50
<i>Impairment loss on trade receivables from related parties – companies capable of exerting significant influence</i>	(2)	(1)
<i>Net trade receivables from related parties – companies capable of exerting significant influence</i>	75	49
<i>Related parties – companies related through parent company</i>	53	13
<i>Related parties – associates and joint ventures</i>	1	8
VAT recoverable	342	325
Impairment loss on VAT recoverable	(24)	(24)
Net VAT recoverable	318	301
Advances paid to third parties	106	105
Impairment loss on advances paid	(1)	(2)
Net advances paid to third parties	105	103
Advances paid to related parties, including:	81	67
<i>Related parties – companies capable of exerting significant influence</i>	–	1
<i>Related parties – companies related through parent company</i>	1	–
<i>Related parties – associates and joint ventures</i>	80	66
Prepaid expenses	10	8
Prepaid income tax	14	15
Prepaid other taxes	17	29
Other receivables from third parties	159	170
Impairment loss on other receivables	(73)	(9)
Net other receivables from third parties	86	161
Other receivables from related parties, including:	5	3
<i>Related parties – companies related through parent company</i>	21	18
<i>Impairment loss on other receivables from related parties – companies related through parent company</i>	(18)	(15)
<i>Net other receivables to related parties – companies related through parent company</i>	3	3
<i>Related parties – associates and joint ventures</i>	2	–
	1,437	1,163

All of the trade and other receivables are expected to be settled or recognised as an expense within one year or are repayable on demand.

(i) Ageing analysis

Included in trade and other receivables are trade receivables (net of loss allowance for expected credit losses) with the following ageing analysis as of the reporting dates:

	30 June 2021	31 December 2020
	USD million	USD million
Current (not past due)	674	385
1-30 days past due	77	77
31-60 days past due	20	2
61-90 days past due	15	1
More than 90 days past due	15	11
Amounts past due	127	91
	801	476

Aging analysis is performed based on number of days receivable is overdue. Trade receivables are on average due within 60 days from the date of billing. The receivables that are neither past due nor impaired (i.e. current) relate to a wide range of customers for whom there was no recent history of default.

Receivables that were past due but not impaired relate to a number of customers that have a good track record with the Group. The Group does not hold any collateral over these balances.

(ii) Impairment of trade receivables

Impairment losses in respect of trade receivables are recorded using an allowance account unless the Group is satisfied that recovery of the amount is remote, in which case the impairment loss is written off against trade receivables directly.

The movement in the allowance for expected credit loss during the period is as follows:

	Six months ended 30 June 2021	2020
	USD million	USD million
Balance at the beginning of the period	(24)	(31)
(Impairment loss) recognized/reversal of impairment	(1)	6
Uncollectible amounts written off	(1)	–
Balance at the end of the period	(26)	(25)

(b) Trade and other payables

	30 June 2021	31 December 2020
	USD million	USD million
Accounts payable to third parties	591	547
Accounts payable to related parties, including:	114	96
<i>Related parties – companies capable of exerting significant influence</i>	5	3
<i>Related parties – companies related through parent company</i>	43	44
<i>Related parties – associates and joint ventures</i>	66	49
Advances received	967	860
Advances received from related parties, including:	6	–
<i>Related parties – associates and joint ventures</i>	6	–
Other payables and accrued liabilities to third parties	153	159
Other payables and accrued liabilities to related parties, including:	4	4
<i>Related parties – companies related through parent company</i>	4	4
Current tax liabilities	30	11
Other taxes payable	187	159
	2,052	1,836

All of the trade and other payables are expected to be settled or recognised as income within one year or are repayable on demand.

Advances received represent contract liabilities to perform obligations under contracts with customers and are recognized in Trade and other payables line in the statement of financial position. Advances received are short-term and revenue in respect of the contract liabilities at the beginning of the period is fully recognized during the period.

Included in trade and other payables are trade payables with the following ageing analysis as at the reporting date. Ageing analysis is performed based on number of days payable is overdue.

	30 June 2021	31 December 2020
	USD million	USD million
Current	587	529
Past due 0-90 days	94	93
Past due 91-120 days	7	8
Past due over 120 days	17	13
Amounts past due	118	114
	705	643

Lease liabilities that are expected to be settled within one year for the amount of USD12 million are included in other payables and accrued liabilities as at 30 June 2021 (31 December 2020: USD25 million).

(c) Other non-current assets

	30 June 2021	31 December 2020
	USD million	USD million
Long-term deposits	138	111
Other non-current assets	17	13
	155	124

(d) Investments in equity securities measured at fair value through profit and loss

The Group accumulated 31,426,697,466 shares or 7% of RusHydro for a total consideration of USD366 million through several transactions from July 2020 till April 2021 and treats them as equity securities measured at fair value through profit and loss.

(e) Fair value measurement

Management believes that the fair values of financial assets and liabilities approximate their carrying amounts, except for the fixed rate borrowings.

12. Equity

(a) Share capital

	Six months ended 30 June 2021		Six months ended 30 June 2020	
	USD	Number of shares	USD	Number of shares
Ordinary shares at the end of the period, authorised	200 million	20 billion	200 million	20 billion
Ordinary shares at 1 January	151,930,148	15,193,014,862	151,930,148	15,193,014,862
Ordinary shares at the end of the period of USD0.01 each, issued and paid	151,930,148	15,193,014,862	151,930,148	15,193,014,862

(b) Other reserves

The acquisition of RUSAL Limited by the Company has been accounted for as a non-substantive acquisition. The consolidated share capital and share premium represent only the share capital and share premium of the Company and the share capital and other paid in capital of RUSAL Limited prior to the acquisition has been included in other reserves.

In addition, other reserves include the cumulative unrealised actuarial gains and losses on the Group's defined post retirement benefit plans, the effective portion of the accumulative net change in fair value of cash flow hedges and the Group's share of other comprehensive income of associates.

(c) Distributions

Following Company's redomiciliation in September 2020 (Note 1(a)), the Company may distribute dividends from retained earnings and profit for the reporting period in compliance with the current legislation of the Russian Federation and the provisions of its Charter.

(d) Currency translation reserve

The currency translation reserve comprises all foreign exchange differences arising from the translation of the consolidated financial statements of foreign operations and equity accounted investees.

13. Loans and borrowings

This note provides information about the contractual terms of the Group's loans and borrowings.

	30 June 2021	31 December 2020
	USD million	USD million
Non-current liabilities		
Secured bank loans	4,730	4,603
Unsecured bank loans	37	22
Bonds	1,738	2,437
	6,505	7,062
Current liabilities		
Secured bank	202	270
Unsecured bank loans	383	403
Bonds	719	1
Accrued interest	56	56
	1,360	730

(a) Loans and borrowings

As at 30 June 2021, the secured bank loans are secured by certain pledges of shares of a number of Group subsidiaries and 1 share of Norilsk Nickel (Note 10). In July 2021 the Group pledged additional shares and as of the date of issuance of this consolidated interim condensed financial information 25.13% of Norilsk Nickel shares outstanding in the market secure banks loans.

As at 31 December 2020, the secured bank loans were secured by certain pledges of shares of a number of Group subsidiaries, 25% +1 share of Norilsk Nickel and property, plant and equipment with a carrying amount of USD28 million.

As at 30 June 2021, rights, including all monies and claims, arising out of certain sales contracts between the Group's trading subsidiaries and its ultimate customers, were assigned to secure the syndicated Pre-Export Finance Term Facility Agreements (PXF's) dated 25 October 2019 and dated 28 January 2021.

As at 31 December 2020, rights, including all monies and claims, arising out of certain sales contracts between the Group's trading subsidiaries and its ultimate customers, were assigned to secure the syndicated Pre-Export Finance Term Facility Agreements (PXF) dated 25 October 2019.

On 28 January 2021, the Group entered into new three-year sustainability-linked pre-export finance facility for up to USD200 million. The interest rate is subject to a sustainability discount or premium depending on the Company's fulfilment of the sustainability key performance indicators (KPI). The proceeds were used to refinance the principal outstanding under the existing debt.

In December 2020, Taishet Aluminium Smelter signed a 15 years syndicated loan agreement for up to RUR45bln with VTB and Gazprombank to finance project construction, including refinancing of own expenses made in 2020. Drawdowns commenced in February 2021 and shall be made further on in accordance with the disbursement schedule.

The nominal value of the Group's loans and borrowings was USD5,380 million as at 30 June 2021 (31 December 2020: USD5,329 million).

(b) Bonds

As at 30 June 2021, 30,263 series BO-01 bonds, 15,000,000 series BO-001P-01 bonds, 15,000,000 series BO-001P-02 bonds, 15,000,000 series BO-001P-03 bonds, 15,000,000 series BO-001P-04 bonds, 10,000,000 series BO-002P-01 bonds were outstanding (traded in the market).

The closing market price as at 30 June 2021 was RUB 740, RUB 1,012, RUB 1,015, RUB 1,005, RUB 997 and RUB 982 per bond for the six tranches, respectively.

As at 30 June 2021, the amount of accrued interest on unsecured bank loans, secured bank and bonds was USD3 million, USD9 million and 44 million, respectively (31 December 2020: USD3 million, USD9 million and USD44 million, respectively).

14. Provisions

USD million	Pension liabilities	Site restoration	Provisions for legal claims	Total
Balance at 1 January 2020	60	371	17	448
Provisions made during the period	3	18	—	21
Provisions reversed during the period	—	(3)	—	(3)
Actuarial gain	(7)	—	—	(7)
Provisions utilised during the period	(2)	(3)	—	(5)
Foreign currency translation	(6)	(13)	—	(19)
Balance at 30 June 2020	48	370	17	435
Non-current	44	348	—	392
Current	4	22	17	43
Balance at 1 January 2021	55	401	17	473
Provisions made during the period	3	23	—	26
Provisions reversed during the period	—	(27)	—	(27)
Actuarial gain	(1)	—	—	(1)
Provisions utilised during the period	(2)	(2)	—	(4)
Foreign currency translation	—	(4)	—	(4)
Balance at 30 June 2021	55	391	17	463
Non-current	51	339	—	390
Current	4	52	17	73

15. Derivative financial assets/liabilities

	30 June 2021		31 December 2020	
	USD million		USD million	
	Derivative assets	Derivative liabilities	Derivative assets	Derivative liabilities
Petroleum coke supply contracts and other raw materials	–	77	31	43
Forward contracts for aluminium and other instruments	22	26	19	9
Cross currency swap	–	140	–	133
Total	22	243	50	185
Non-current	–	149	20	28
Current	22	94	30	157

Derivative financial instruments are recorded at their fair value at each reporting date. Fair value is estimated in accordance with Level 3 of the fair value hierarchy based on management estimates and consensus economic forecasts of relevant future prices, net of valuation allowances to accommodate liquidity, modelling and other risks implicit in such estimates. The Group's policy is to recognise transfers between levels of fair value hierarchy as at the date of the event or change in circumstances that caused the transfer. There were no changes in valuation techniques during six-month period ended 30 June 2021. The following significant assumptions were used in estimating derivative instruments:

	2021	2022	2023	2024	2025
LME Al Cash, USD per tonne	2,520	2,490	2,447	2,411	2,375
Platt's FOB Brent, USD per barrel	74	69	65	62	–

The movement in the balance of Level 3 fair value measurements of derivatives is as follows:

	Six months ended 30 June	
	2021	2020
	USD million	USD million
Balance at the beginning of the period	(135)	54
Unrealised changes in fair value recognised in the consolidated interim condensed statement of income (finance income/(expense)) during the period	(235)	12
Unrealised changes in fair value recognised in other comprehensive income (cash flow hedge) during the period	(28)	(58)
Realised portion of electricity, coke and raw material contracts and cross currency swap	177	4
Balance at the end of the period	(221)	12

Sensitivity analysis showed that derivative financial instruments are not particularly sensitive to changes in main inputs.

16. Commitments and contingencies

(a) Capital commitments

The Group has entered into contracts that result in contractual obligations primarily relating to various construction and capital repair works. The commitments as at 30 June 2021 and 31 December 2020 were approximately USD356 million and USD516 million, including VAT, respectively. These commitments are due over a number of years.

(b) Taxation

Russian tax, currency and customs legislation is subject to varying interpretations, and changes, which can occur frequently. Management's interpretation of such legislation as applied to the transactions and activities of the Group may be challenged by the relevant local, regional and federal authorities. Notably recent developments in the Russian environment suggest that the authorities in this country are becoming more active in seeking to enforce, through the Russian court system, interpretations of the tax legislation, in particular in relation to the use of certain commercial trading structures, which may be selective for particular tax payers and different to the authorities' previous interpretations or practices. Different and selective interpretations of tax regulations by various government authorities and inconsistent enforcement create further uncertainties in the taxation environment in the Russian Federation.

(c) Environmental contingencies

The Group and its predecessor entities have operated in the Russian Federation, Ukraine, Jamaica, Guyana, the Republic of Guinea and the European Union for many years and certain environmental problems have developed. Governmental authorities are continually considering environmental regulations and their enforcement and the Group periodically evaluates its obligations related thereto. As obligations are determined, they are recognised immediately. The outcome of environmental liabilities under proposed or any future legislation, or as a result of stricter enforcement of existing legislation, cannot reasonably be estimated. Under current levels of enforcement of existing legislation, management believes there are no possible liabilities, which will have a material adverse effect on the financial position or the operating results of the Group. However, the Group anticipates undertaking significant capital projects to improve its future environmental performance and to bring it into full compliance with current legislation.

(d) Legal contingencies

The Group's business activities expose it to a variety of lawsuits and claims which are monitored, assessed and contested on the ongoing basis. Where management believes that a lawsuit or another claim would result in the outflow of the economic benefits for the Group, a best estimate of such outflow is included in provisions in the consolidated interim condensed financial information (refer to Note 14). As at 30 June 2021 the amount of claims, where management assesses outflow as possible approximates USD21 million (31 December 2020: USD21 million).

17. Related party transactions

(a) Transactions with management and close family members

Management remuneration

Key management received the following remuneration, which is included in personnel costs:

	Six months ended 30 June	
	2021	2020
	USD million	USD million
Salaries and bonuses	33	34
	33	34

The remuneration for the six months ended 30 June 2021 includes contributions to the state pension funds. The comparative information for the six months ended 30 June 2020 is restated accordingly.

(b) Transactions with associates and joint ventures

Sales to associates and joint ventures are disclosed in Note 5, purchases from associates and joint ventures are disclosed in Note 6, accounts receivable from associates and joint ventures as well as accounts payable to associates and joint ventures are disclosed in Note 11.

(c) Transactions with other related parties

The Group transacts with other related parties, the majority of which are companies related through parent company or under the control of SUAL Partners Limited or its controlling shareholders.

Sales to related parties for the period are disclosed in Note 5, purchases from related parties are disclosed in Note 6, finance income and expenses with related parties are disclosed in Note 7, accounts receivable from related parties as well as accounts payable to related parties are disclosed in Note 11.

(d) Related parties balances

As at 30 June 2021, non-current assets include balances of related parties – associates and joint ventures of USD2 million (31 December 2020: associates and joint ventures of USD4 million). As at 30 June 2021, non-current liabilities include balances of related parties – associates and joint ventures of USD13 million (31 December 2020: USD12 million).

As at 30 June 2021, current assets include balances of related parties – companies related through parent company of USD50 million (31 December 2020: companies related through parent company of USD50 million).

(e) Pricing policies

Prices for transactions with related parties are determined on a case by case basis but are not necessarily at arm's length.

The Group has entered into three categories of related-party transactions: (i) those entered into on an arm's length basis, (ii) those entered into on non-arm's length terms but as part of a wider deal resulting from arms' length negotiations with unrelated third parties, and (iii) transactions unique to the Group and the counterparty.

18. Events subsequent to the reporting date

The Group evaluated subsequent events from 30 June 2021 through the date the consolidated interim condensed financial information was issued and concluded that no subsequent events have occurred that would required recognition or disclosure in the consolidated interim condensed financial information other than disclosed in Note 13 (a).